Northwind Logistics - Annual Report FY2025

For the fiscal year ended 30 June 2025. Fictional company, written as sample data for DocuMind.

FY2025 at a glance

FY2025 was a year of profitable growth for Northwind Logistics. Revenue rose by double digits, margins improved despite higher fuel costs, and we opened our largest hub to date in Rotterdam.

Highlight	FY2025	Change vs FY2024
Revenue	USD 412.6 million	+11.4%
EBITDA	USD 58.6 million	+16.9%
EBITDA margin	14.2%	+0.7 percentage points
Net income	USD 31.8 million	+19.1%
Earnings per share	USD 1.27	+18.7%
Employees (year end)	3,950	+410
On-time delivery rate	96.3%	+1.1 percentage points

Key events of the year

- **September 2024:** Signed a five-year contract with a major European grocery retailer, our largest customer win.
- **March 2025:** Opened the Rotterdam multimodal hub (62,000 square metres).
- **April 2025:** Reached 31% electric vehicles in the delivery fleet.
- **June 2025:** Completed the acquisition of Baltic Parcel, a last-mile carrier in Lithuania and Latvia.

Letter from the CEO

Dear shareholders,

This year we proved that a logistics company can grow quickly and become more efficient at the same time. Revenue grew 11.4% to USD 412.6 million, and every one of our three segments grew. Our EBITDA margin improved to 14.2%, even though fuel prices were on average 9% higher than in the previous year.

The second quarter was the most difficult. Demand from our retail customers softened after a weak back-to-school season, and industrial volumes in Germany fell. We responded by moving capacity to the growing grocery and healthcare segments rather than cutting prices, and by the third quarter volumes had recovered.

Our "Route 2027" strategy has three priorities: automate our warehouses, electrify our delivery fleet, and expand our last-mile network in Central and Eastern Europe. This year we invested USD 34 million in these priorities, including 140 new electric vans and robotic picking systems in four warehouses.

I want to thank our 3,950 colleagues. The on-time delivery rate of 96.3% is the best in our history, and it was achieved by people working through a record peak season.

We are recommending a dividend of USD 0.42 per share, up from USD 0.36 last year.

Maria Okafor

Chief Executive Officer

Financial summary

All figures in USD millions unless stated otherwise.

Metric	FY2025	FY2024	Change
Revenue	412.6	370.4	+11.4%
Cost of services	318.9	288.1	+10.7%
Gross profit	93.7	82.3	+13.9%
Gross margin	22.7%	22.2%	+0.5 pp
Operating expenses (SG&A)	35.1	32.2	+9.0%
EBITDA	58.6	50.1	+16.9%
Depreciation and amortisation	16.4	14.9	+10.1%
Operating profit (EBIT)	42.2	35.2	+19.9%
Net income	31.8	26.7	+19.1%
Earnings per share (USD)	1.27	1.07	+18.7%
Capital expenditure	34.0	27.5	+23.6%
Free cash flow	22.9	19.8	+15.7%
Net debt	61.4	68.0	-9.7%

Commentary

Gross margin improved because more of our revenue came from warehousing contracts with long-term pricing, and because robotic picking reduced labour cost per order by 12% in the automated sites. Operating expenses grew more slowly than revenue. Net debt fell to 1.05 times EBITDA, giving us room to fund the Baltic Parcel acquisition from cash.

Segment performance

Northwind reports three segments.

Segment	FY2025 revenue	FY2024 revenue	Growth	Share of total
Freight Forwarding	USD 198.4 m	USD 186.1 m	+6.6%	48%
Warehousing	USD 121.7 m	USD 109.8 m	+10.8%	30%
Last-Mile Delivery	USD 92.5 m	USD 74.5 m	+24.2%	22%

Freight Forwarding

Freight Forwarding remains our largest segment. Ocean freight volumes recovered in the second half, while air freight was flat. Segment margin was stable at 9.8%.

Warehousing

Warehousing grew through the new grocery contract and the opening of Rotterdam. Utilisation across our 18 warehouses averaged 87%. The segment has the highest margin at 19.4%.

Last-Mile Delivery

Last-Mile Delivery was the fastest-growing segment, with revenue up 24.2%. Growth came from e-commerce customers and from the first month of Baltic Parcel. Parcels delivered rose to 41 million. Segment margin improved from 4.1% to 6.3% as route density increased.

Operations

Network

At year end we operated 18 warehouses with a total of 610,000 square metres, 46 cross-dock and parcel depots, and a fleet of 1,240 vehicles across 12 countries.

The Rotterdam multimodal hub opened in March 2025. It connects deep-sea shipping, rail and road, and handles up to 1,800 containers a week. It is our largest site and employs 380 people.

Service quality

- On-time delivery rate: 96.3% (FY2024: 95.2%).
- Damaged-shipment rate: 0.21% of shipments (FY2024: 0.27%).
- Customer Net Promoter Score: 48 (FY2024: 41).

Automation

Robotic picking systems are now live in 4 warehouses, handling 35% of all order lines. Automated sites pick an order line in 9 seconds on average, compared with 22 seconds in manual sites.

People

Headcount grew by 410 to 3,950 employees, of whom 58% work in warehouses, 27% in transport and 15% in offices. Voluntary staff turnover fell from 17% to 14%. The lost-time injury frequency rate was 1.8 per million hours worked, down from 2.3.

We invested in a driver academy that trained 220 new professional drivers, helping us manage the industry-wide driver shortage.

Sustainability

Northwind has committed to reach net-zero greenhouse gas emissions across Scope 1, 2 and 3 by 2040, with an interim target to cut Scope 1 and 2 emissions by 50% by 2030 compared with the FY2023 baseline.

Progress in FY2025

Indicator	FY2025	FY2023 baseline
Scope 1 and 2 emissions (tonnes CO2e)	48,300	58,200
Change vs baseline	-17%	-
Electric vehicles in delivery fleet	31%	12%
Warehouses with rooftop solar	9 of 18	3 of 16
Renewable electricity share	64%	38%
Waste recycled	82%	71%

Fleet electrification

We added 140 electric vans this year. Electric vans now carry out 31% of our delivery routes, and in Amsterdam and Copenhagen all city-centre deliveries are fully electric. Heavy trucks remain the main challenge; we are trialling two hydrogen fuel-cell trucks and HVO renewable diesel on long-haul routes.

Buildings

Rooftop solar panels on 9 warehouses produced 14.2 GWh of electricity, covering about 40% of those sites' consumption. The Rotterdam hub was certified BREEAM Excellent.

Principal risks

The Board reviews the following principal risks at least twice a year.

Fuel and energy prices

Fuel is our largest variable cost after labour. Most contracts include fuel surcharge clauses that pass on about 80% of price changes within one month. The remaining exposure is partly hedged for 12 months ahead.

Driver and labour shortage

Shortages of qualified drivers and warehouse staff could limit growth. We mitigate this through our driver academy, competitive pay and automation.

Cybersecurity

Logistics companies are frequent targets of cyber attacks. In January 2025 our security team detected and blocked a ransomware attempt at an early stage; no data was lost and operations were not interrupted. Following the incident we accelerated the rollout of multi-factor authentication to all warehouse systems and doubled the security team.

Customer concentration

Our ten largest customers account for 34% of revenue, and the largest for 7%. We aim to keep any single customer below 10% of revenue.

Foreign exchange

About 60% of revenue is earned in euros while we report in US dollars. Currency movements reduced reported revenue growth by 1.2 percentage points this year.

Economic conditions

A slowdown in European industrial production or consumer spending would reduce volumes, as seen in the second quarter of FY2025.

Outlook for FY2026

Guidance

For FY2026 we expect:

- Revenue of USD 450 to 465 million, including a full year of Baltic Parcel.
- EBITDA margin of 14.5% to 15.0%.
- Capital expenditure of about USD 38 million, mainly for automation and electric vehicles.

Priorities

1. **Two new hubs.** We will open hubs in Gdansk (Poland) and Lyon (France) in the second half of FY2026.
2. **Automation.** Robotic picking will be extended from 4 to 7 warehouses.
3. **Electrification.** We aim for 40% electric vehicles in the delivery fleet by the end of FY2026.
4. **Integration.** Baltic Parcel will be fully integrated into the Northwind network and brand by March 2026.

Dividend

The Board recommends a final dividend of USD 0.42 per share for FY2025, to be paid on 15 October 2025 to shareholders on the register on 19 September 2025. Our dividend policy is to pay out 30% to 35% of net income.

Annual general meeting

The annual general meeting will be held on 24 September 2025 in Amsterdam and online.